CHAPTER-FOUR
ORGANIZATIONAL CHANGE AND STRESS MANAGEMENT

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Organizational Change

- Organizational change refers to the actions in which a company or business alters a major component of its organization, such as its culture, the underlying technologies or infrastructure it uses to operate, or its internal processes.
- Organizational change management is the process of guiding organizational change to a successful resolution, and it typically includes three major phases: preparation, implementation, and follow-through.
- No company today is in a particularly stable environment. Even those with a dominant market share must change, sometimes radically.

Forces for Change

"Change or die!" is the rallying cry among today's managers worldwide. Six specific forces that stimulate change are given below-

- Changing nature of the workforce
- Technology
- Economic shocks
- Competition
- Social trends
- World politics

Forces for Change

- **Changing Nature of the Workforce:** Almost every organization must adjust to a multicultural environment, demographic changes, immigration, and outsourcing.
- **Technology:** Technology is continually changing jobs and organizations. It is not difficult to imagine the idea of an office becoming an antiquated concept in the near future.
- **Economic Shocks:** Economic shocks also have a significant impact on organizations. During the great recession of 2007 to 2009, millions of jobs were lost worldwide; home values dropped dramatically; and many large well-known corporations disappeared or were acquired. Recovery has occurred in many countries, and with it has come new job prospects and investments.

Forces for Change

- **Competition:** Competition is changing. Competitors are as likely to be across the ocean as across town. Successful organizations are fast on their feet, capable of developing new products rapidly and getting them to market quickly. In other words, they are flexible and require an equally flexible and responsive workforce.
- **Social Trends:** Social trends don't remain static either. Organization must therefore adjust product and marketing strategies continually to be sensitive to changing social trends. Consumers, employees, and organizational leaders are also increasingly sensitive to environmental concerns.

Forces for Change

- **World Politics:** Not even globalization's strongest proponents could have imagined the change in world politics in recent years. We have seen a major set of financial crises that have rocked global markets, a dramatic rise in the power and influence of China, populism and nationalist movements gaining headway in Europe and the United States and intense shakeups in governments across the Arab world.

Overcoming Resistance to Change

- Eight tactics can help change agents deal with resistance to change. These are -
  - Communication
  - Participation
  - Building Support and Commitment
  - Develop Positive Relationship
  - Implementing Changes Fairly
  - Manipulation and Cooptation
  - Selecting People Who Accept Change
  - Coercion

Overcoming Resistance to Change

- **Communication:** Communication is more important than ever in times of change. One study of German companies revealed changes are most effective when a company communicates a rationale that balances the interest of various stakeholders. Other research on a changing organization in the Philippines found that formal information sessions decreased employees anxiety about the change.
- **Participation:** It's difficult to resist a change decision in which we have participated. Assuming participations have the expertise to make a meaningful contribution, their involvement can reduce resistance, obtain commitment, and increase the quality of the change decision.

Overcoming Resistance to Change

- **Building Support and Commitment**: When managers or employees have low emotional commitment to change, they resist it and favor the status quo. Employees are also more accepting of changes when they are committed to the organization as a whole. Motivating employees and emphasizing their commitment to the organization overall can help them commit emotionally to the change rather than embrace the status quo.
- **Develop Positive Relationship:** People are more willing to accept changes if they trust the managers implementing them and see them as legitimate. Those who had a more positive relationship with their supervisor, and who felt that the work environment supported development, were much more positive about the change process.

Overcoming Resistance to Change

- **Implementing Changes Fairly:** One way organizations can minimize negative impact is to make sure change is implemented fairly. Procedural fairness is especially important when employees perceive an outcome as negative, so it's crucial that employees see the reason for the change, are kept informed about its progress, and perceive its implementation as consistent and fair.
- **Manipulation and Cooptation:** Manipulation refers to convert influence attempts. Twisting facts to make them more attractive, withholding information, and creating false rumors to get employees to accept change are all examples of manipulation. Cooptation, on the other hand, combines manipulation and participation. It seeks to buy off the leaders of a resistance group by giving them a key role, seeking their advice not to find a better solution but to get their endorsement.

Overcoming Resistance to Change

- **Selecting People Who Accept Change**: Research suggests the ability to accept and adapt easily to change is related to personality – some people are simply more receptive to change. Individual who are emotionally stable, have high core self-evaluation, are willing to take risks, and are flexible in their behavior are prime candidates.
- **Coercion:** Last on the list of tactics is coercion, the application of direct threats or force on the resisters. If management is determined to close a manufacturing plant whose employees don't acquiesce to a pay cut, the company is using coercion. Other examples threatening employees with transfer, blocked promotion, negative performance evaluation, and poor letters of recommendation.

Approaches to Managing Organizational Change

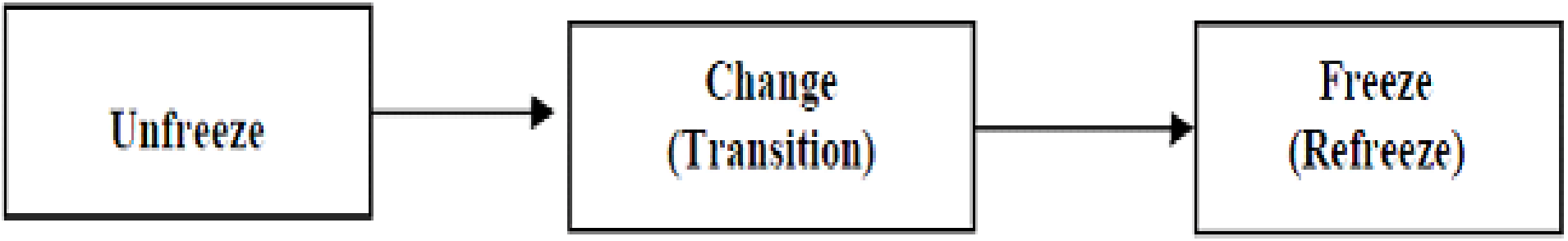
We now turn to several approaches to managing change. These are -

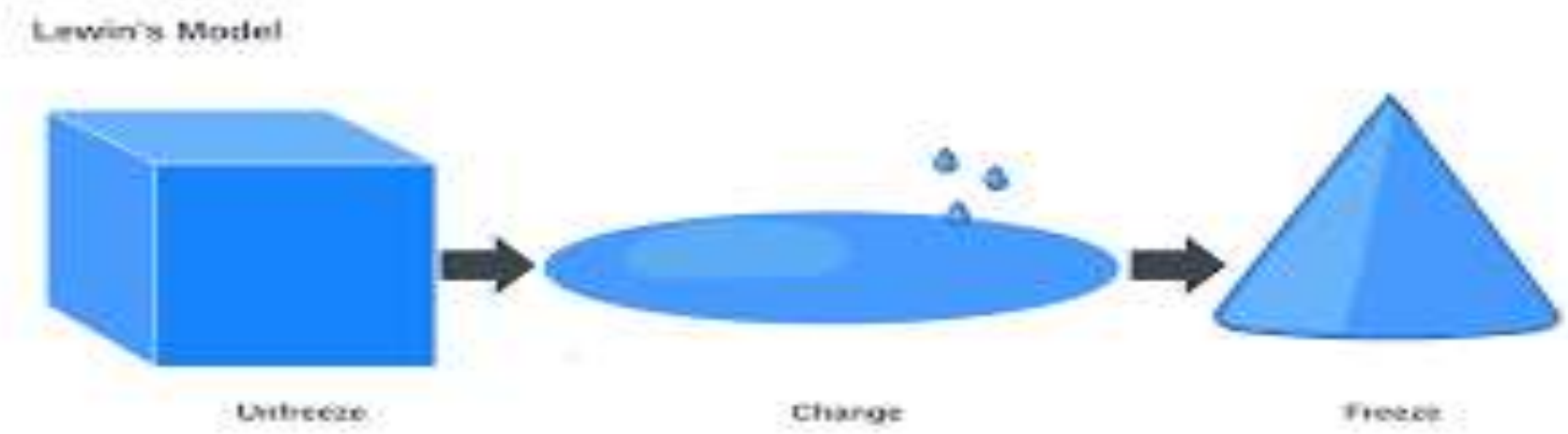
- Kurt Lewin’s Three Steep Model of The Change Process
- John Kotter Eight-Step Plan for Implementing Change

Kurt Lewin's Three Steep Model of Change Process

- Kurt Lewin's Three Stages model or the Planned Approach to Organizational is one of the cornerstone models which is relevant in the present scenario even.
- Lewin, a social scientist and a physicist, during early 1950s propounded a simple framework for understanding the process of organizational change known as the Three-Stage Theory which he referred as Unfreeze, Change (Transition) and Freeze (Refreeze).
- According to Lewin, Change for any individual or an organization is a complicated journey which may not be very simple and mostly involves several stages of transitions or misunderstandings before attaining the stage of equilibrium or stability.
- For explaining the process of organizational change, he used the analogy of how an ice block changes its shape to transform into a cone of ice through the process of unfreezing.

Kurt Lewin's Three Steep Model of Change Process





Kurt Lewin's Three Steep Model of Change Process

- **Stage 1 - Unfreezing:** This is the first stage of transition and one of the most critical stages in the entire process of change management. It involves improving the readiness as well as the willingness of people to change by fostering a realization for moving from the existing comfort zone to a transformed situation.
- It involves making people aware of the need for change and improving their motivation for accepting the new ways of working for better results. During this stage, effective communication plays a vital role in getting the desired support and involvement of the people in the change process.

Kurt Lewin's Three Steep Model of Change Process

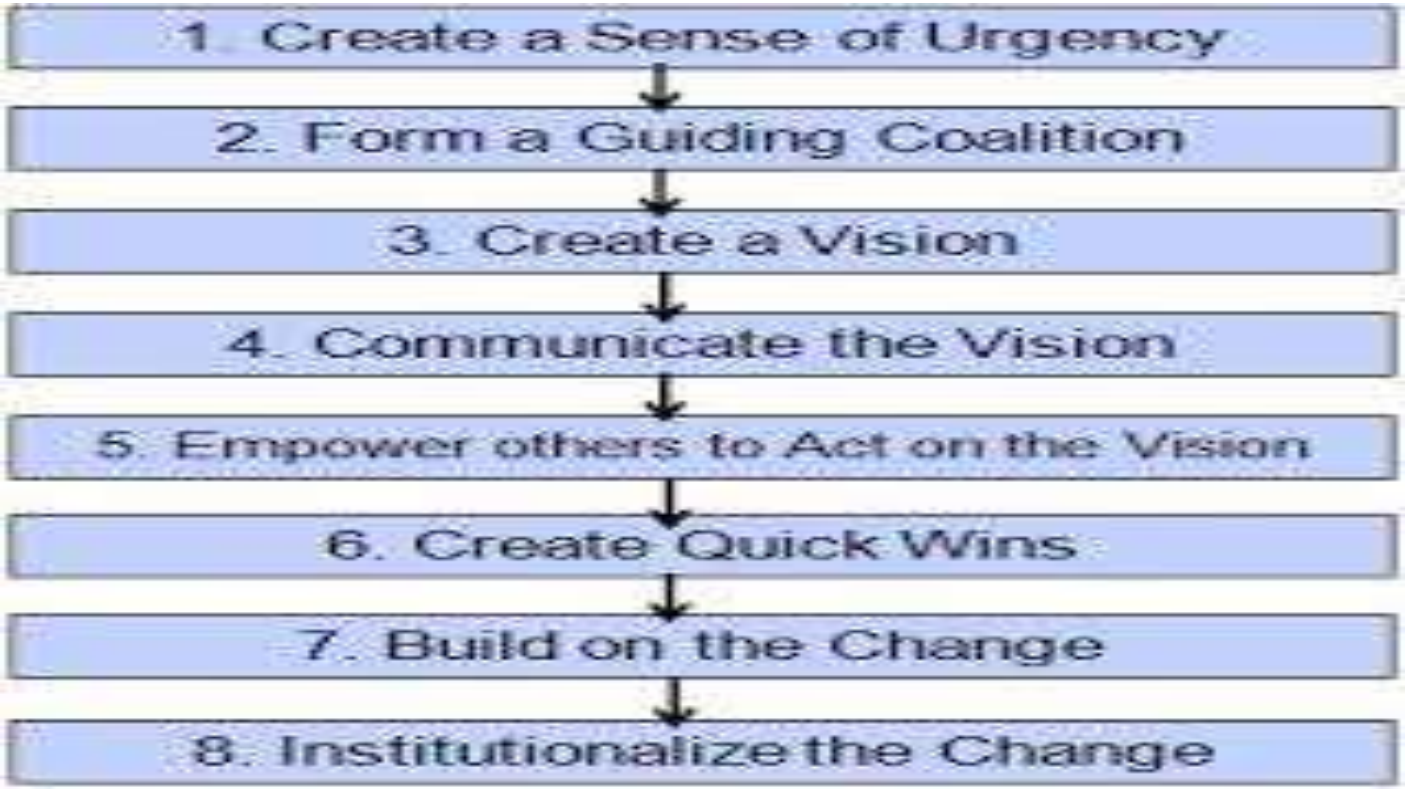
- **Stage 2 - Change:** This stage can also be regarded as the stage of Transition or the stage of actual implementation of change. It involves the acceptance of the new ways of doing things. This is the stage in which the people are unfrozen, and the actual change is implemented.
- During this stage, careful planning, effective communication and encouraging the involvement of individuals for endorsing the change is necessary. It is believed that this stage of transition is not that easy due to the uncertainties or people are fearful of the consequences of adopting a change process.

Kurt Lewin's Three Steep Model of Change Process

- **Stage 3 - Freeze (Refreezing):** During this stage, the people move from the stage of transition (change) to a much more stable state which we can regard as the state of equilibrium.
- The stage of Refreezing is the ultimate stage in which people accept or internalize the new ways of working or change, accept it as a part of their life and establish new relationships.
- For strengthening and reinforcing the new behavior or changes in the way of working, the employees should be rewarded, recognized and provided positive reinforcements, supporting policies or structures can help in reinforcing the transformed ways of working.

John Kotter Eight-Step Plan for Implementing Change

- John Kotter (1996), a Harvard Business School Professor and a renowned change expert, in his book "Leading Change", introduced 8 Step Model of Change which he developed on the basis of research on 100 organizations which were going through a process of change.



John Kotter Eight-Step Plan for Implementing Change

- **Step-1 Create a Sense of Urgency:** For change to happen, it helps if the whole company really wants it. Develop a sense of urgency around the need for change. This may help you spark the initial motivation to get things moving.
- **Step-2 Form a Guiding Coalition:** Convince people that change is necessary. This often takes strong leadership and visible support from key people within your organization. Managing change isn't enough – you have to lead it.
- **Step-3 Create a Vision for Change:** When you first start thinking about change, there will probably be many great ideas and solutions floating around. Link these concepts to an overall vision that people can grasp easily and remember.

John Kotter Eight-Step Plan for Implementing Change

- **Step-4 Communicate the Vision:** What you do with your vision after you create it will determine your success. Your message will probably have strong competition from other day-to-day communications within the company, so you need to communicate it frequently and powerfully, and embed it within everything that you do.
- **Step-5 Empower Others to Act on the Vision**: If you follow these steps and reach this point in the change process, you've been talking about your vision and building buy-in from all levels of the organization. Hopefully, your staff wants to get busy and achieve the benefits that you've been promoting.

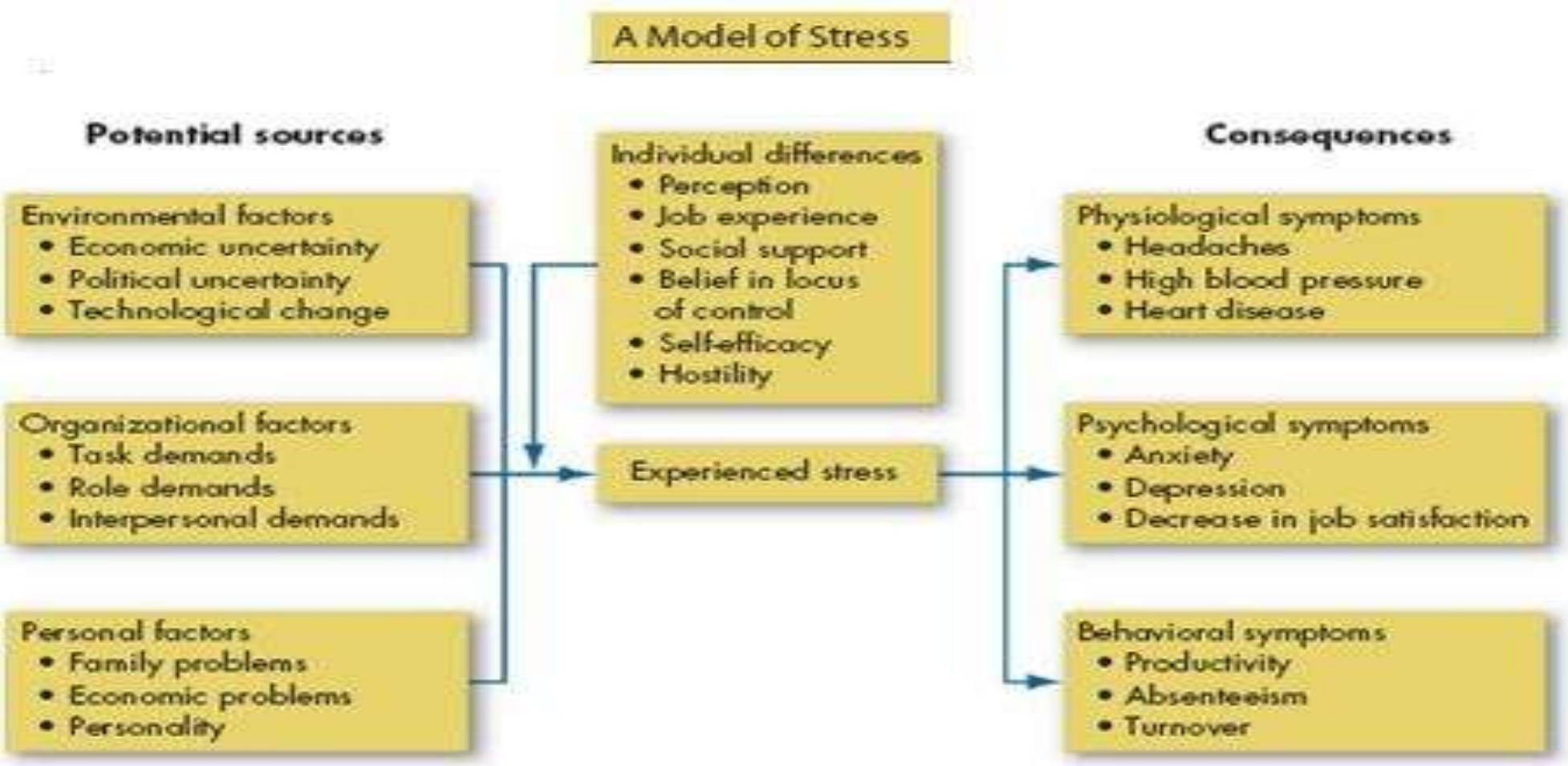
John Kotter Eight-Step Plan for Implementing Change

- **Step-6 Create Short-Term Wins:** Nothing motivates more than success. Give your company a taste of victory early in the change process. Within a short time frame (this could be a month or a year, depending on the type of change), you'll want to have some "quick wins" that your staff can see. Without this, critics and negative thinkers might hurt your progress.
- **Step-7 Build on the Change:** Kotter argues that many change projects fail because victory is declared too early. Real change runs deep. Quick wins are only the beginning of what needs to be done to achieve long-term change.
- **Step-8 Institutionalize the Change:** Finally, to make any change stick, it should become part of the core of your organization. Your corporate culture often determines what gets done, so the values behind your vision must show in day-to-day work.

Stress

- Stress is an unpleasant psychological process that occurs in response to environmental pressures. Stress is a dynamic condition in which an individual is confronted with an opportunity, demand, or resource related to what the individual desires and for which the outcome is perceived to be both uncertain and important.
- Although stress is typically discussed in a negative context, it also has a positive purpose.

A Model of Stress



Potential Sources of Stress

- **Environmental Factors –**

- Economic uncertainties of the business cycle.
- Political uncertainties of political systems.
- Technological uncertainties of technical innovations.
- Terrorism in threats to physical safety and security.

Potential Sources of Stress

- **Organizational Factors –**
- Task demands related to the job
- Role demands of functioning in an organization
- Interpersonal demands created by other employees
- Organizational structure (rules and regulations)
- Organizational leadership (managerial style)
- Organization’s life stage (growth, stability, and decline)

Potential Sources of Stress

- **Individual Factor –**

- Family and personal relationship.
- Economic problem for exceeding earning capacity.
- Personality problem arising for basic disposition.

Consequences of Stress

- **Physiological Symptoms-**
  - Immediate effects
  - Illness
  - Chronic health conditions
- **Psychological Symptoms-**
  - Anxiety
  - Lower emotional well-being
  - Lower job satisfaction

Consequences of Stress

- **Behavioral Symptoms-**
- Lower job performance
- Higher absenteeism
- Higher turnover

END OF CHAPTER

HAVE A GOOD DAY……..